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1.5 Activity-Based Effort Baseline

Method, instrument, model and illustrative run

Deliverable	1.5 Activity-based effort baseline by role (FTE-equivalent)
Version	0.5 – method and model shell (Week 3). v1.0 populated with survey, time-and-motion and timestamp data at Week 6
Source	1.1 taxonomy (activity categories); DR-11 user register (sampling frame); DR-16 loaded cost rates; activity survey W5; time-and-motion W5–6; DR-02 timestamps
Owner	WS3 Data & MI (Data/MI Analyst) with WS5 People & Change
Accepted by	SteerCo (G1); Finance Director (method)

Status of the numbers in this document. Section 6 contains an illustrative run of the model using assumed inputs, so that the SteerCo and Finance can agree the method and see what the output will look like before data arrives. Every figure in section 6 is marked illustrative and must not be quoted as a finding. The baseline numbers are produced in Week 6 from Bank data and endorsed at G1.

1. Purpose

Objective O2 (lower cost to serve, release capacity) can only be evidenced against a baseline of **where effort goes today**: which roles spend how much time on which activities, for which deal types. BLP does not record effort. The baseline therefore has to be constructed, and constructed in a way the SteerCo will accept at G1 and Finance will accept at G2.

Three sources are triangulated. None is sufficient alone: a survey over-reports “real work” and under-reports admin; time-and-motion observes too few people to generalise; system timestamps show elapsed time, not effort. Together they bound the answer.

Source	What it measures	Strength	Weakness	Role in the baseline
A. Activity survey	Self-reported time by activity category, all roles, one week	Breadth: every role and segment	Self-report bias; one week may be atypical	Primary allocation of time across activities
B. Time-and-motion	Observed touch time per instance of the five highest-volume activities	Accuracy per activity	Small sample; observer effect	Calibrates survey touch time per deal; unit times for cost per deal
C. BLP stage timestamps (DR-02)	Elapsed time per stage per deal	Complete population; objective	Elapsed ≠ effort; stage coverage may be partial	Wait vs touch split; volumes per activity; cross-check that survey hours × volumes reconcile

2. Activity categories

Categories are the 24 L2 processes of the taxonomy (1.1), collapsed to 18 survey lines so the instrument fits in 15 minutes a day, plus four non-process lines. Every line maps back to L2 so results tag to the same structure as the maps, controls and pain points.

Line	Survey category (as shown to participants)	L2	Applies to roles
A01	Handling new enquiries and leads; initial screening	1.1, 1.2	RM, BD
A02	Finding and setting up the customer and parties in BLP	1.3	RM, BD, SBS
A03	Creating and structuring the deal (products, limits, pricing, covenants, security)	1.4	RM, BD, SBS
A04	Customer and credit analysis; writing the credit memo	2.1	RM, BD, SBS
A05	Gathering information from the customer (requests, chasing, receiving)	2.1, 2.5	RM, BD
A06	Validating the deal and checking facility documents before submission	2.2, 2.3	RM, BD, Business Ops
A07	Assessing a deal and recording a decision	2.4	Credit
A08	Dealing with deferrals, declines, appeals and post-approval changes	2.4, 2.5, 2.6	RM, BD, Credit
A09	Producing, issuing, chasing and checking facility letters	3.1	RM, BD, Business Ops, Corp. Associate
A10	Instructing, preparing, executing and registering security	3.2	RM, Lending Services, Securities
A11	Tracking conditions precedent and covenant set-up	3.3	RM, BD
A12	Fulfilling facilities on product systems; releasing funds	3.4	Fulfilment
A13	Renewals and extensions (end to end, where not captured above)	4.1	RM, BD
A14	Variations and facility removals (end to end, where not captured above)	4.2, 4.4	RM, BD
A15	Drawdowns and shadow limit reallocations	4.3	RM
A16	Covenant monitoring, tracking items, waivers	5.1	RM, BD, Credit
A17	Distressed customers: referrals, categorisation, strategy	5.2, 5.3	RM, Credit, SBS
A18	Deposit opportunities	E1.1	RM, BD
N01	Customer relationship time not tied to a deal (meetings, calls, planning)	—	RM, BD
N02	Internal: meetings, training, management, admin not tied to a deal	—	All
N03	System problems, workarounds, re-keying, chasing other teams	E2	All
N04	Other (free text)	—	All

Design note. A13–A15 exist because RMs think in deal types, not process steps. A respondent who spent the morning on a renewal will not reliably split it across A02–A11. The analysis step (section 5) re-allocates A13–A15 to L2 using the per-step unit times from time-and-motion, so the output is still by L2 process.

3. Sampling frame and instrument

Population and sample

Role	Population (DR-11, TBC)	Sample	Rate
Relationship Managers (SF, Corporate)	[DR-11]	60	—
Business Direct	[DR-11]	30	—
Credit	[DR-11]	20	—
Lending Services / Securities	[DR-11]	12	—
Fulfilment	[DR-11]	10	—
SBS / PS	[DR-11]	8	—
Business Ops / Corporate Associates	[DR-11]	10	—
Total	**c. 900**	**150**	**c. 17%**

Stratified by role and segment; within strata, random from DR-11 active users. Team leaders nominate alternates for absence. Minimum acceptable response: 60% per stratum (R-11).

Timing

Week 5, Monday to Friday (7–11 December 2026). Avoids month-end and the Christmas run-down. One week is a limitation; the reconciliation to DR-02 volumes (section 5, step 4) tests whether the week was representative.

Instrument

- Daily form, 15 minutes, end of day: hours (to 0.25) against the 22 lines; must total the working day
- Per line: number of deals touched (for A02–A15), to derive touch time per deal
- One free-text box: “biggest time-waster today”
- Anonymised at source: respondent ID → role × segment × week only
- Delivered as a form link from the team leader (C-05), not from the project

Time-and-motion

Observed, not self-reported. Five activities selected by expected volume × touch time: (1) renewal submission preparation (A04/A13), (2) credit assessment of a renewal (A07), (3) facility letter production and issue (A09), (4) variation set-up (A03/A14), (5) fulfilment of a facility (A12). Target 8–12 observed instances each across two segments. Records: start/stop per step, system used, interruptions, re-keying.

Loaded cost

DR-16: fully loaded annual cost per role band from Finance. Converted to cost per productive hour using Finance’s standard productive-hours assumption (to be stated in the model, not assumed by the project).

4. Model structure

One workbook, five sheets, every output traceable to an input.

Sheet	Content	Inputs	Outputs
S1 Survey raw	One row per respondent-day-line: role, segment, line, hours, deals touched	Survey forms	—
S2 Allocation	Hours by role × segment × line, scaled to population; A13–A15 re-allocated to L2 using S3 unit times	S1, DR-11 population, S3	Hours per week by role × L2
S3 Unit times	Touch time per deal per step from time-and-motion; survey-derived touch time per deal (hours ÷ deals touched) for comparison	Observation records, S1	Minutes per deal per L2 per deal type; calibration factor survey ÷ observed
S4 Reconciliation	Survey hours × 52 vs. (DR-02 annual volumes × S3 unit times); variance by L2	S2, S3, DR-02	Reconciled range (low / central / high) per L2 per role
S5 Baseline	FTE-equivalent by role × L2 (central and range); cost per deal by deal type; touch vs wait per stage	S4, DR-16, DR-02	Deliverable 1.5 tables; inputs to 1.4 cost per deal and to business case

Definitions

Term	Definition
Touch time	Time a person is actively working on a deal step (survey hours; observed minutes)
Wait time	Elapsed time in a stage minus touch time (DR-02 elapsed − S3 touch)
FTE-equivalent	Annual hours on an activity ÷ Finance productive hours per FTE. A measure of capacity, not of people
Cost per deal	Σ (touch time per step × loaded hourly rate of the role performing it) across the steps a deal type passes through
Capacity released (Phase 2)	Baseline FTE-equivalent on steps eliminated or automated, net of new activity added, per benefits counting rule 1 (0.9)

5. Analysis steps (Week 6)

1. **Clean and scale.** Remove incomplete days; scale each stratum to its DR-11 population; report response rate per stratum.
2. **Calibrate.** For the five observed activities, compute survey touch-per-deal ÷ observed touch-per-deal. Expect 1.1–1.4 (survey over-reports). Apply the factor to the un-observed activities of the same role, and state it.
3. **Re-allocate deal-type lines.** Split A13–A15 hours across L2 steps in proportion to S3 unit times for that deal type.
4. **Reconcile to volume.** For each L2: annualised survey hours vs. DR-02 volume × unit time. Variance within ±20% → central estimate is the mean; outside → report both as the range and investigate (usually the survey week was atypical, or a step is performed outside BLP and not timestamped).
5. **Split touch and wait.** From DR-02 elapsed per stage minus S3 touch, by deal type. This is the input to hypothesis C4 and to the cycle-time baseline in 1.4.
6. **Cost.** Apply DR-16 rates. Produce cost per deal by deal type, and total annual cost of the lending process by role.
7. **Report ranges, not points.** G1 endorses a range. Finance has agreed (0.9 counting rules) that the business case uses the central estimate with sensitivity at the bounds.

Quality gates before G1

Check	Threshold	If failed
Response rate per stratum	≥ 60%	Extend survey one week for that stratum; widen range
Daily hours total within 6–10 per respondent	≥ 90% of days	Exclude outliers; report count
Calibration factor	0.8–1.6	Outside: investigate instrument; do not apply blindly
Volume reconciliation	±20% per L2 for the top 8 L2 by hours	Report as range; flag in 1.11
Time-and-motion instances	≥ 8 per activity, ≥ 2 segments	Extend observation to W6; widen range

6. Illustrative run (assumed inputs — not findings)

Inputs below are assumptions chosen to exercise the model: role populations are placeholders pending DR-11; the activity split is a plausible shape, not Bank data; unit times are round numbers; loaded rates are placeholders pending DR-16. The purpose is to show the SteerCo and Finance the shape and granularity of the output they will be asked to endorse at G1. Replace every yellow cell with measured data in Week 6.

6.1 Illustrative allocation: Relationship Managers (SF), share of working week by L2

L2 / line	Share of week (assumed)	Reads as
N01 Customer relationship time (not deal-tied)	25%	The number the Bank wants to go up
A04 / 2.1 Customer and credit analysis, memo	18%	Largest deal-tied block; renewals dominate it by volume
A09 / 3.1 Facility letters: produce, issue, chase, check	9%	Manual issuance; the automation candidate (L4)
A05 Information gathering and chasing	8%	Driven by deferral loops (C1) and unstructured requests
A02 + A03 / 1.3–1.4 Customer set-up and deal structuring	8%	Includes the five-step deal start repeated per deal
A06 / 2.2–2.3 Validation, document check, authority check	6%	Manual DA check (C5)
A11 + A16 / 3.3, 5.1 Conditions and covenant tracking	5%	
A08 / 2.5–2.6 Deferrals, declines, appeals, post-approval changes	4%	Rework (O4)
A10 / 3.2 Security instruction and chasing	3%	
N03 System problems, workarounds, re-keying, chasing teams	4%	Direct measure of H-D1
N02 Internal meetings, training, admin	10%	
Total	100%	

6.2 Illustrative unit times (minutes of touch time per deal) (assumed)

Step group	Renewal	Variation	New / Increase	Role
Deal start (1.3–1.4)	20	25	45	RM
Analysis and memo (2.1)	90	75	240	RM
Validate, docs, DA check (2.2–2.3)	30	30	45	RM
Credit assessment (2.4)	60	60	150	Credit
Facility letter (3.1)	35	40	50	RM / Bus Ops
Security (3.2)	0	30	90	Lending Services
Fulfilment (3.4)	15	25	40	Fulfilment
Total touch per deal	**250**	**285**	**660**	

6.3 Illustrative annual effort by deal type (assumed unit times × RFP volumes)

Deal type	12-m vol.	Touch min / deal	Annual hours	FTE-eq. @ 1,600 h (placeholder productive hours)	Share
Renewal + EPR	14,857	250	61,900	38.7	44%
Variation	7,277	285	34,570	21.6	25%

New + Increase	3,033	660	33,360	20.9	24%
CAP Referral + Strategy	1,516	360	9,100	5.7	6%
Reallocation / allocation	62+	180	190	0.1	0%
Total deal-tied effort	**26,745**		**139,100**	**87**	**100%**

What the illustration shows about the method, not the Bank: even with New Money touch time at 2.6× a renewal, renewals and variations would carry about 70% of deal-tied effort because of volume. If the measured numbers show anything like this shape, the fast-track and materiality-triage levers (L1, L5) are where capacity sits, and the New Money redesign is secondary. The measured run will confirm or overturn that in Week 6.

6.4 Output tables the baseline will contain (populated at v1.0)

- FTE-equivalent by role × L2 (central, low, high), all segments and by segment
- Touch time per deal by deal type and step group; cost per deal by deal type
- Touch vs wait per stage per deal type (joint with 1.4)
- Share of role time on N03 workarounds and N01 customer time
- Calibration factors and reconciliation variances, with the week's representativeness assessment